



Settlement/Funding/Delivery Procedures – Correspondent

CLOSING DOCUMENTS

Loans should utilize Mortgage Electronic Registration Systems (MERS) and close on a MERS as Original Mortgagee (MOM) document. The certified true copy of the Mortgage/Deed of Trust with the NMLS ID information included, must have the MERS language included, MIN shown on the first page. The MIN should be located on the upper-right hand corner of the note. If MERS is not used, a certified true copy of the Corporate Assignment assigned to Flagstar is required. Any applicable riders to the Mortgage/Deed of Trust must also be submitted.

Short form title Insurance policies should be used on all eligible loans. For those loans closing in the name of *MERS*, the endorsement language should name the *Lender (Name of who loan closed under), its successors, and assigns appearing of record as Mortgage Electronic Registration Systems, Inc. as the Insured*. See *Title Insurance Policy Requirements*, [Doc. #4606](#) for more information.

MERS LITE MEMBERS

Originators that are set up in Flagstar's system as MERS LITE members must generate their own MIN and are required to add their ORG ID in the *Originating Lender* field within the MERS system. Please ensure that you perform the following:

- Register the loan on the MERS system within seven calendar days of disbursement.
- Transfer the servicing rights to Flagstar no later than five days after loan purchase by Flagstar.

DATES/FHA PAYOFF

- Closing Date: Date the documents are signed by the borrower
- Disbursement Date: Date the funds are released by the settlement agent
- Date Funds Needed: Date the closing/settlement agent would like the funds to be at their office
- FHA Payoff Loans: Indicate whether the funds being issued will pay off an existing FHA loan to avoid interest penalties

The closing date, disbursement date, and the date funds needed may all be on the same date, or on different dates, depending on the type of loan and each state's specific practices.

PRINCIPAL REDUCTIONS

Principal reductions are allowed up to \$2,000 for excess premium, cash back or lender credit.

SIGNATURE REQUIREMENTS

Closing documents may be signed and/or notarized per grid below.

<i>Borrower Signing Date requirements</i> (all states)			
Earliest closing date must be on or after expiration of 3 day TRID waiting period			
Program	Before Date on Docs	On Date on Docs	After Date on Docs
Conventional			
Fannie Refinance	Allowed	Allowed	Allowed
Fannie Purchase	Allowed	Allowed	Allowed
Freddie Refinance	Not Allowed	Allowed	Allowed
Freddie Purchase	Not Allowed	Allowed	Allowed



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FHA			
Refinance	Allowed	Allowed	Allowed
Purchase	Allowed	Allowed	Allowed
VA			
Refinance	Allowed	Allowed	Allowed
Purchase	Allowed	Allowed	Allowed
MSHDA/Bond			
Purchase	Allowed	Allowed	Allowed
Construction			
Purchase	Not Allowed	Allowed	Not allowed
Refinance (reno)	Not Allowed	Allowed	Not allowed
USDA			
Purchase	Allowed	Allowed	Allowed
Refinance	Allowed	Allowed	Allowed

NOTARY POLICY

- Notaries may not be associated with the originator. Ineligible notaries include, but are not limited to the following:
 - Any employee of the originator including, but not limited to loan officers, processors, etc. (When closing loans in-house, banks and credit unions only may use an employee to perform notary services).
 - Any family member of one of the principal owners.
 - Anyone who receives funds, other than the notary fee, upon loan closing.
- Loans that close with an unacceptable notary will not be purchased by Flagstar.

UNIFORM RESIDENTIAL LOAN APPLICATION (1003)

A typed, signed, and dated printed copy of the final *Uniform Residential Loan Application* (1003) must be included with the closed loan package. This document must be signed by all borrowers at closing and returned in the closed loan package. Application must include NMLS ID information and be signed by loan officer.

POWER OF ATTORNEY

If closing by power of attorney (POA), the specific conditions section of these closing instructions must indicate that prior approval was obtained and approved by the underwriter. The title policy must not make any exceptions based upon the use of the POA. The following POA signature format is required:

John P. Doe by Mary C. Doe, Attorney In Fact

John P. Doe by Mary C. Doe, Attorney In Fact
Under Agreement Dated MM/DD/YYYY

Enclose a copy of the POA document in the closed loan package.

CLOSING IN A TRUST

Refer to the Closing in Trust section of the [Conventional Underwriting Guidelines](#) for details and restrictions with loans closing in a trust.



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CO-OWNER

We will allow other individuals to sign just the mortgage or deed of trust and title, LE/CD and right of rescission but no other documents when their income and credit are not used to qualify. We will allow a co-signer to sign just the note and all other documents other than the mortgage and title when their income and credit are being used to qualify.

To illustrate:

Signer	Mortgage/Title	Note	LE/CD	Right of Rescission
Co-signer		X	X	X
Co-owner	X		X	X

At a minimum, any individual whose income and credit are being used to qualify is required to sign the note, Loan Estimate, Closing Disclosure, and Right of Rescission.

SPOUSAL PROPERTY RIGHTS (NON-PURCHASING SPOUSE)

When a married applicant qualifies for a mortgage based on his or her own financial capacity without any assets or income of his or her spouse being taken into consideration, the spouse does not need to sign the mortgage or deed of trust note. However, we require the spouse to sign the security instrument or any other documentation required to evidence that the spouse is relinquishing all rights to the property, if the spouse's signature is necessary, under the applicable state law, to waive any marital property right he or she has by virtue of being the applicant's spouse.

NOTE ENDORSEMENTS

Provide an endorsed, certified true copy of the original note in the closing package and be sure to type the loan number on the top upper left-hand corner of the original note. It's imperative that notes are endorsed properly. The original note must be endorsed as follows:

Pay to the order of:

Flagstar Bank, N.A.

Without Recourse

Legal Name of Correspondent as it appears on the front of the note

By: _____

Authorized Signer

Name: _____

Authorized Signer

Title: _____

Authorized Signer

An allonge is acceptable in lieu of an endorsement, only when the following requirements have been met:

- The form and content of the allonge must comply with all applicable state, local, or federal law governing the use of allonges and result in an enforceable and proper endorsement of the note.
- The allonge must be permanently affixed to the related note.
- The allonge must clearly identify the note by referencing at least the name of the borrower(s), the date of the note, the amount of the note, and the address of the security property.



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NOTE CORRECTIONS AFTER THE CLOSING

There are certain situations where errors on a note may be corrected subsequent to closing. Follow these guidelines to determine if a note correction is acceptable.

UNACCEPTABLE CORRECTIONS

Flagstar will not allow for corrections, amendments, or the re-drawing of a new note for any change to the loan terms that would alter the financial integrity of the loan, including cases where any piece of the NMLS information (including both LO and company NMLS information) is missing. If a discrepancy is found according to these criteria, the loan will be ineligible for purchase. As such, correspondent loans will be returned.

ACCEPTABLE CORRECTIONS

Flagstar will only allow for corrections that are made for minor address and/or borrower name discrepancies.

- Flagstar will not release the note in our possession containing the discrepancy until we have received a corrected document. Any corrections that are made must be on a new original note, including initials and signatures, and cannot be completed on a copy or previously signed note. Therefore, the customer will need to provide their own new original note in part or in whole for corrections.
- Handwritten changes acknowledged by the borrower(s) must have wet initials/signatures.

INSURANCE CLAUSES

HOMEOWNER'S AND FLOOD INSURANCE MORTGAGEE CLAUSE

The mortgagee clause appearing on your borrower's homeowner's and flood insurance for all loans, including HELOCs can be either the correspondent or Flagstar and must include its successors, assigns or As Their Interest May Appear regardless of whose name it is in:

Flagstar Bank
Its Successors and/or Assigns or
As Their Interest May Appear
P.O. Box 52198
Phoenix, AZ 85072-2198

Refer to *Hazard Insurance Requirements*, [Doc. #4602](#) for details. Refer to *Flood Insurance*, [Doc. #4603](#) for the flood clause.

TITLE INSURANCE MORTGAGEE CLAUSE

The clause will vary based on loan type and method in which the assignment takes place. See *Title Insurance Policy Requirements*, [Doc. #4606](#) for details.

LOCK INFORMATION

Lock details, history, and confirmation can be obtained from Loantrac in the *Loan Information* section. The locked rate must match the rate on the note. For more information, refer to *Loan Registration and Locking a Loan – Correspondent*, [Doc. #4121](#) and *Correspondent Lock Extension Policy*, [Doc. #4122](#)



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DELIVERY DEADLINES

The complete/saleable closing package must be received by the lock expiration date in order to be considered an “on time” delivery.

- On time deliveries in which no post-closing conditions are discovered will be purchased without penalty
- On time deliveries in which additional post closing conditions are discovered and must be cleared prior to funding may incur an additional funding extension fee
- Please refer to the *Correspondent Lock Extension Policy*, [Doc. #4122](#) for details regarding the calculation of Funding Extension Fee
- Notwithstanding the above conditions, Flagstar will not purchase any loan delivered more than 45 days after closing/signing

FLAGSTAR’S PAPERLESS CLOSING PACKAGE SUBMISSION

You may submit your documents electronically using the Documents Page in TPO or using Flagstar’s Paperless Document Transfer™.

For Non-Delegated loans, refer to the *Post Closing Loan Review Checklist*, [Doc. #3634](#). For Delegated loans, refer to the *Delegated Submission Checklist*, [Doc. #3229](#). By submitting your closing package in an electronic format, you affirmatively warrant and represent to Flagstar that the submission represents a complete closing package. Furthermore, you warrant that you have complied in all material respects with the seller’s guide and your correspondent agreement with Flagstar. It is your responsibility to adhere to Flagstar’s final document delivery requirements as outlined in *Final Documents Delivery*, [Doc. #4701](#), as well as maintain the original signed loan documents for the period of time prescribed by federal and state law. You shall permit Flagstar to inspect the original, signed loan documents upon reasonable written notice. You are not to send in the equivalent paper-closing package. If a paper package is sent to Flagstar it will be returned at the sender’s expense. Please note that Flagstar views the use of a document management system to store documents electronically, as complying with the requirement to hold originals. You may include the short form policies for paperless submissions.

FLAGSTAR’S PHYSICAL CLOSING PACKAGE SUBMISSION

For non-electronic closing package delivery, send to:

Flagstar Bank, N.A.
5151 Corporate Drive
Troy, MI 48098
Attention: Post Closing Receiving Department, Mail Stop: W-800-1

When delivering your closing package to our corporate office we require a separate file folder for each closing package. This includes equity and second mortgages. For CEMA deliveries, refer to the *NY CEMA Procedures*, [Doc. #4250](#). For COOP deliveries, refer to the *NY & NJ Cooperative Procedures*, [Doc. #4643](#).

ORIGINAL NOTE

Your warehouse bank may require that you split the collateral package/original note from the rest of the documents at closing and forward those documents directly to them immediately. Once your warehouse bank receives the collateral package/original note, they must ship it to us accompanied by a Bailee Letter, which informs us where to wire funds once the loan is purchased by our funding department.

If you are using your own funds, include the original note with the rest of the documents in the closing package. If you are using the uploading option, you will need to mail the original note (and any applicable addendum)



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under separate cover. Once we receive the collateral package/original note, it will be matched with the closing package and reviewed by our Post Closing Loan Review Department.

NON-FLAGSTAR WAREHOUSE LINE, OR OWN FUNDS

Deliver collateral package/original note along with Bailee letter and/or wiring instructions to:

Flagstar Bank, N.A.
Attention: Post Closing Receiving Department, Mail Stop: W-800-1
5151 Corporate Drive
Troy, MI 48098

FLAGSTAR WAREHOUSE LINE OF CREDIT

Deliver collateral package/original note along with Bailee letter and/or wiring instructions to:

Flagstar Bank, N.A.
Attention: Warehouse Lending, Mail Stop: 4-314
301 W. Michigan Ave
Jackson, MI 49201

POST CLOSING SUSPENSE CONDITIONS

Any conditions discovered must be cleared prior to funding, an additional funding extension fee penalty assessed at 2 basis points per day may apply. Please refer to the *Correspondent Lock Extension Policy*, [Doc. #4122](#) for details regarding the calculation of funding extension fee. Post-closing suspense conditions can be viewed on Loantrac.

FUNDING/WAREHOUSE

For non-Flagstar warehouse lines, a Bailee letter is required on each transaction.

If you begin using a different warehouse provider, please provide *Correspondent Wiring Information Request*, [Doc. #3670](#), accompanied by the warehouse approval letter to be reviewed and approved by the Wholesale Lending Service Center (WLSC).

For additional information on Flagstar's warehouse line funding procedures, contact the Warehouse Lending department by calling (800) 642-0039.

You may obtain a *Funding Breakdown* in the *Loan Information* section in Loantrac.

AMORTIZED LOAN PURCHASE OPTION

Correspondents can opt-in to have certain loans purchased with amortization to facilitate proper servicing disclosure to the borrower. For those choosing this option, loans purchased on or after the 12th calendar day of the month, the next loan payment will be amortized and netted from funding (including escrows if applicable). Any amortized payments will be due from the borrower(s) to the correspondent. Additionally for FHA loans the correspondent will be responsible for remitting the monthly MIP on amortized payments.

Correspondents are required to have procedures to collect, process and store detailed information about all payments made to them (or their subservicer). Flagstar reserves the right to request a detailed payment history from the correspondent on loans purchased by Flagstar where any payment was expected to be paid to the correspondent.



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In the event the additional payments or disbursements occur on the loan after purchase (e.g. the payment made was for different amount than was amortized and netted at funding, additional principal curtailment(s) were made, or escrow disbursement occurred, etc.), the correspondent is responsible for notifying Flagstar Servicing at cashiering-payments@flagstar.com and providing details to reconcile the loan history.

To opt-in the Amortized Loan Purchase, correspondents should contact their Flagstar account executive.

PAYMENTS RECEIVED

- In the event Flagstar receives payment(s) for a loan that is not boarded in our servicing system, the following may occur: If a payment is received for a loan that is not on file with Flagstar, the check will be returned.
- If a payment is received for a loan we have on file, but is not complete, we will hold the check for one week to determine course of action.

Flagstar will not purchase loans on or after the 15th of the month in which a payment is due without proof the payment was made to the correspondent (or subservicer). On the 12th calendar day of the payment month or later, Flagstar requires the actual check or a payment history. The payment history should include:

- Signature by someone in the office (required on all Flagstar underwritten loans)
- Beginning and ending loan balance
- Beginning and ending escrow balance (if applicable)
- Amount applied to principal and interest
- Amount applied to escrow amount (if applicable)
- Amount of payment
- Date check was received by correspondent

PAYMENTS RECEIVED BY THE CORRESPONDENT

In cases where a correspondents receives payment(s) from a borrower, such payments should be forwarded to Flagstar no later than one business day from receipt of the payment. If the correspondent is the named payee, the payment should be endorsed. Borrower payments should then be sent below and will need to ServicingCashOps-LoanTransfers@flagstar.com the borrower(s) name, , date of receipt and Flagstar loan number. .

Please note, this remittance address is for the correspondent's use only:

Flagstar Bank
5151 Corporate Drive
Troy, MI 48098-2639
Attn: Servicing Cashiering Transfers
Mail Stop W-175-3

PAYMENTS REMITTED BY THE BORROWER

Borrowers must remit all payments directly to:

Flagstar Bank
P.O. Box 660263
Dallas, TX 75266-0263